

M&A; Risk Policy

Purpose

This fictional document is training data for an investment-banking RAG application. It is not financial advice.

Transaction screening

Review enterprise value, purchase price, sources and uses, EBITDA, net debt, leverage, liquidity, industry risk, sponsor quality and repayment capacity.

Leverage

A common screening metric is Net Debt / EBITDA. Higher leverage generally increases credit and refinancing risk.

Example

A fictional target has debt of \$300 million, cash of \$50 million and EBITDA of \$100 million. Net debt is \$250 million and Net Debt / EBITDA is 2.5x.

Key risks

Integration risk, customer concentration, cyclicalities, aggressive EBITDA adjustments, interest-rate increases, foreign-exchange exposure and liquidity pressure should be assessed.